Primary Research (Google Forms)

The following data represents the individuals we've interviewed directly via our Google survey. At the time of this report compilation, we'd received 10 total participants, all of whom answered our survey with 27 questions. The questions we compiled for these interviewees were centered around current user experiences both good and bad in the expense tracking app scene. The Google form can be accessed through this link: https://docs.google.com/forms/d/e/1FAIpQLSduxHla-MUrsbe7vilPqI3tYwJcfT0TAdZtS_2mymas6YSCxQ/viewform

Basic Participant Data Metrics

Name
Joy Mittra
Amar Sanjay Adisare
Hazel
Minjoo
Hrushikesh
Ubin
Lisa Misola
Faisal

Age	
18-27	6
27-37	3
37-50	1
TOTAL (participants)	**10**

How often do they track expenses	
Daily	1
Weekly	2
Monthly	3

Shawn Lee	
Elliot Turner	
TOTAL (participants)	**10**

Randomly	3
TOTAL (participants)	**9**

This survey received a variety of responses out of our 10 participants when it comes to expense tracking. While a majority (55.6%) have made tracking a regular habit, there are significant pain points affecting most peoples' experiences with tracking their finances. The people we interviewed found current methods time-consuming, mentally taxing, and lacking in automation. They also express skepticism towards bank syncing due to accuracy concerns and security issues. A significant majority (70%) believe that incentives would significantly increase their use of tracking apps.

The survey also highlighted a desire for smarter tracking solutions. Users seek both summary reports and detailed transaction breakdowns, demonstrating the need for flexible data presentation. While a variety of tracking methods are used for current users, the lack of a prominent solution suggests a need for more user-friendly and effective solutions in apps that address their expressed pain points. Further points on these findings are noted in the *Major Findings & Recommendations* section.

Secondary Research (Supporting external research)

This document presents findings from secondary research conducted to understand people's experiences with tracking expenses. We explored expense tracking habits, financial literacy, and spending behavior using insights from reports and expert analyses. By analyzing various articles and studies, we identified common financial challenges, spending habits, and the factors influencing money management. This research helps us understand how digital tools impact expense tracking and budgeting, providing valuable data to develop more effective financial management solutions, including our expense-tracking app.

Common Themes Across Articles

1. **Financial Strain and Budgeting Challenges:**
    - A significant portion of people are experiencing financial stress, with many living paycheck to paycheck due to rising inflation and economic pressures.
    - People need better ways to budget and manage their money to reduce financial stress.

2. **Importance of Habit Formation:**
    - Tracking expenses regularly and being mindful of spending can help people stay in control.
    - Apps and tools that make habit-building easier can encourage better financial behavior.

3. **Psychological Factors Influencing Spending:**
    - Emotions and psychology play a big role in how people spend money.
    - Many people overspend due to habits, social pressure, or lack of awareness.

Unique Insights

- **Effects of Financial Stress on Spending**
  - Some companies are focusing on selling to wealthier people, making it harder for lower-income individuals to keep up.
  - Even people with decent incomes sometimes *feel* financially stressed, even if they have extra money.

- **Money Management Isn't Just About Numbers**
  - Managing money is like learning a dance—it's about balance, not just strict budgeting.
  - People need to find a system that works for them and fits their lifestyle.

- **Why Expense Tracking Helps**
  - Tracking spending helps people see where their money goes and can reveal ways to save.
  - Those who don't track expenses often underestimate how much they actually spend.

- **How to Stop Overspending**
  - Understanding the emotional side of spending can help people control their habits.
  - Small changes in behavior and mindset can make a big difference in saving money.

Noteworthy Articles & Key Insights

1. **Financial Literacy and Its Impact on Expense Tracking**
   A recent study explored the relationship between financial literacy and individuals' expense-tracking behaviors:
   a. The study found that individuals with higher financial literacy levels are more likely to engage in regular expense tracking, leading to better budgeting and financial management.
   b. Conversely, those with lower financial literacy often lack awareness of effective expense-tracking methods, resulting in overspending and financial stress.
   c. The research suggests that enhancing financial education can promote better expense-tracking habits, contributing to overall financial well-being.

Reference: Financial Literacy and Its Impact on Expense Tracking:
https://www.financialeducatorscouncil.org/financial-literacy-statistics/

2. **Study on Personal Finance Management in Canada**
   A recent study highlighted the importance of expense tracking in Canadians' financial well-being:
   a. The study found that individuals who use digital tools for expense tracking are more aware of their spending patterns and can identify areas to cut unnecessary costs.
   b. In rural areas, limited access to financial advisory services and lower financial literacy rates contribute to challenges in effective expense management.
   c. Effective expense tracking has been linked to reduced stress levels, improved savings rates, and overall better financial health.

Reference: Financial Literacy and Its Impact on Expense Tracking:
https://www.financialeducatorscouncil.org/financial-literacy-statistics/

Major findings and recommendations (Survey findings)

Major Commonalities

- **Age**
  - The majority of the respondents (9/10) were within the 18-27/27-37 age range.
- **Preferred tracking methods**
  - All interviewees admitted to using a sole method to track expenses. None used apps in combination with other tracking methods such as note-taking or Excel sheet tracking.
- **Preferred payment methods**
  - 8/10 respondents use credit/debit as a form of payment.
- **Incentive**
  - 7/10 respondents found that a provided incentive would indefinitely increase their frequency of tracking their finance apps, aside from the benefit of tracking their finances.
- **End-Goal setting**
  - Most respondents answered that they set their end goal as managing day-to-day expenses by using expense tracking.

Minor Commonalities

- **Tracking Time**
  - Most users spend around 5–10 minutes tracking expenses, suggesting that quick and efficient tracking solutions would be appealing.
- **Self-Discipline in Tracking**
  - While 55.6% have made tracking a habit, 44.4% need reminders or alarms to stay consistent.
- **Desire for Both Summary & Detailed Views**

    - 68.7% want both summary reports and detailed transaction breakdowns—showing the need for flexible data presentation.
- **Reason for using the current method**
    - Most users replied that they have already become easier to adapt to the method they use today and that they do not feel the need to switch to something else.
- **Preferred data type**
    - 66.7% of respondents prefer both graphs and raw data together when they track expenses.

Major Differences

- **Habits**
    - Out of 9 responses, 5 said that expense tracking has become a habit, while 4 said that they sometimes forget or need notifications to remind them to track their expenses
- **Bank Syncing**
    - Out of 7 responses, 4 said they have never synced their bank with an expense tracker app or would not want to, 2 said they have tried but the data was inaccurate, and 1 said they would want an app that does this.
- **Tracking usage**
    - Out of 9 responses, 4 said that they use their brain to track expenses, 3 said they use Excel, 2 said they use the notes app, 1 uses a banking app, 1 uses a mobile app, and 1 uses pen and paper

Pain Points or User Frustrations

- **Inconvenience & Stress**
    - Tracking expenses is seen as time-consuming and mentally taxing. If a user can centralize their tracking into one flow, they will do it.

- **Lack of Automation**
  - Manual methods are accurate but tedious, while bank apps are seen as inaccurate and unreliable—particularly in cash transaction tracking.
- **No Clear Preventive Benefit**
  - Some users feel that tracking expenses don't help prevent overspending—they'd rather cut back altogether or invest. There's no real incentive.
- **Low Recommendation Rates**
  - Many don't recommend their tracking methods because they are either too personal, time-consuming, or inaccurate.

Key Takeaways

- **High Habit Formation Potential**
  - Despite frustrations, 55.6% have made tracking a regular habit, indicating that with the right features, more users could be nudged into consistent behavior.
- **Incentives Could Be a Game-Changer**
  - Incentive-based tracking could significantly boost adoption and consistency. Providing the user with some form of passive reward can help guide them to keep up a habit of tracking core expenses.
- **Skepticism Toward Bank Syncing**
  - Security concerns missed cash transactions, and incorrect categorization deters users from relying on bank-integrated solutions.
- **Desire for Smarter Tracking**
  - Users don't just want summaries—they seek detailed insights and patterns across categories to make better financial decisions. Anyone can request numbers- meaningful suggestions to help guide their expense tracking journey make for a better user/app interaction system.

Suggestions

Based on the information gathered above, we've found the following to be the main pieces of info to keep into consideration:

- **Focus on Quick & Effortless Tracking**
  - Setting up a new inputting data method that is easier for users to use by minimizing the process that occurs in expense tracking. (e.g auto-categorization, receipt scanning)
- **Reduce Tracking Frustrations**
  - By providing an interface tailored to each user's preferences, fatigue and discomfort felt in the expense-tracking process are reduced.
  - Minimal manual work (pre-filled suggestions, spending summaries), and Customizable tracking flow (some users may want detailed logs, while others prefer simple summaries).
- **Offer Both Summary & Detailed Views**
  - Organize an effective data dashboard for both summary and detail.
  - Provide customized data types that can easily change in the settings page according to the user's preferences.
- **Provides user-friendly, easy-to-use guides**
  - Survey results show that users prefer simple, easy environments focused on expense tracking rather than complex and diverse features, reducing fatigue and time required to learn new environments.

Action Points and Recommendations

Major Recommendations

- Hybrid tracking (Manual + Auto)
- Auto-tracking of digital expenses such as card/bank/app payments.
- Smart categorization of expenses.
- Gamification & Incentives (badges, streaks, or small perks) for constantly tracking expenses.
- Smart Reminders & Notifications based on spending patterns (basis past behavior), due dates, user configured budget limits, and tracking habits.
- Goal-based tracking lets users set financial goals and help achieve it.
    - Create money pots/small piggy banks for specific purchases the user might want.
- Bank-level security for syncing with bank apps. (e.g. two-factor authentication)

Minor Recommendations

- Import files (CSV, PDF) for ease of transferring data
- Multi-Device-Syncing to ensure smooth cross-device access for those who track across multiple platforms
- Visualization of spending habits - dashboard (personalized insights)
- Dark Mode for better visibility

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